CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E149EFCFD
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
CONFIDENTIAL - SUBJECT TO PROTECTIVE ORDER

**From:** Mark E Haedicke <mark.haedicke@enron.com>
**Sent:** Wed, 17 Jan 2001 06:47:00 -0800 (PST)
**To:** Sami Arap <sami.arap@enron.com>
**Subject:** Re: Azurix deal update (Argentina)

Sami: Thanks for the update. Mark

Sami Arap@ENRON
01/17/2001 12:12 PM

To: Mark E Haedicke@ECT
cc:
Subject: Azurix deal update (Argentina)

Mark;

Randy Young suggested that I send you an update regarding the above captioned deal. This is a total energy management services deal where Enron Argentina is currently providing billing services to Azurix Argentina. The TEM Agreement was executed on August 25, 2000. The contract term is 3 years and the NPV is approximately US$900,000.

Azurix Argentina is facing a very difficult situation arising from its Buenos Aires Province water concession agreement. Over the past few days, local newspapers have informed that Mr. Carlos Ruckauf, the BA Governor, has called a local congress extraordinary session "to consider the early termination of Azurix water concession agreement" (sic). The BA Province is claiming that Azurix did not fulfill the contracted investments. In case the Azurix concession is revoked, our agreement will also be terminated.

Rgds,

Sami

CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E149EFCFD
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
ENRON-955370939894